

in the middle of the pandemic, was a resounding success. It was subscribed 157 times. The stock has not disappointed. From an offer price of ₹145 per share, it hit a peak of ₹2,930, and was trading around ₹2,249 on March 6.

GETTING IT TOGETHER

Not that the ride has not been smooth. The pandemic, for instance, completely disrupted the supply chain. "It hit us when four destroyers and an equal number of frigates (a warship) and submarines were at the fag end of execution," says Singhal. This triggered major changes post listing. He outlines, among other things, the focus on timely deliveries and convincing the workforce that MDL was now in a new environment. "Having a strong foundation helped. We have adapted well. We worked hard on procurement, reviewed human resources policies and filled a lot of vacancies," he adds.

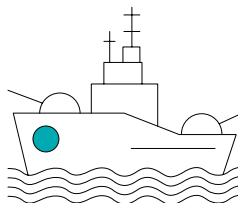
The company did not have big orders while going public. This became a big problem as its projects are usually long-term. "We started looking for smaller projects and many times lost out in the tender process," says Singhal. The tide turned in October 2023 when MDL won an order for a coast guard training ship, followed by two in quick succession, before an order to make multipurpose cargo vessels for a Danish company. "The overseas break was big. We anticipate more such orders," he says.

Samco Securities research analyst Divyam Mour says MDL operates in a specialised segment. "Submarine and warship projects involve immense technological complexity and have high entry barriers," he says. This places the company in a strong position. Submarine projects are high-value and high-margin in nature, says Mour.

As these are government contracts, advance payments ensure positive cash flows. "This kind of financial strength sets MDL apart from peers. Besides, it operates under a cost-plus contract model, which safeguards it from cost

WHAT CLICKED

- 01 **Success of the public offering raised its profile and improved the work culture**
- 02 **Submarine and warship projects have high entry barriers as they involve immense technological complexity**
- 03 **The company operates under a cost-plus contract model, which safeguards it from cost overruns and potential losses**
- 04 **Focus on foreign orders; domestic defence is 98% of the business; target is 80% in five-six years**



overruns and potential losses during project execution."

THE STORY SUSTAINS

Going forward, MDL's growth will be helped by the ₹25,000 crore Maritime Development Fund that aims to provide long-term, low-cost financial support for domestic shipbuilding and maritime infrastructure projects. "The increasing focus on naval modernisation, combined with a strong pipeline of defence projects, augurs well for MDL. The strong presence in ship repair and maintenance contracts also provides a stable and recurring revenue stream," says Mour.

The business model has found favour with analysts. A Nirmal Bang Institutional Equities report in February raised its rating from "hold" to "buy" on "timely implementation of platforms, strong revenue visibility over three years and a growing order book." MDL's order book stood at ₹34,800 crore as of December 2024. Shipbuilding accounted for 74% share (the rest was submarines). Operating in a specialised space calls for strong skillsets. "If you look at defence markets, we operate expensive platforms, with the smallest destroyer costing ₹5,000-6,000 crore. If you want to go for a cheaper version, competition is stiff," says Singhal.

MDL has over time earned the trust of its partners. A case in point is the Shishumar-class submarine. The first two were made in Germany. MDL made the other two in Mumbai. "After 30 years, we brought back the first one here, cut it open and reassembled it to extend the life. In the case of the Scorpene class (in partnership with the French government), the construction of an air independent propulsion plug (a technology that allows submarines to operate without surfacing for oxygen) and integration was a major job. We handled it," he says.

NO DEARTH OF AMBITION

Shipbuilding offers many opportunities. "It is like many slices in a pizza and